Convert other assets to cash

Here again we're going against conventional wisdom. The norm is to diversify your assets. You invest in hard assets like rental property, a beach house, or railroad cars. For liquidity you buy stocks, options, bonds, and Ginnie Maes. We'll look closer at stocks and other investments later on. But they usually involve risk, or hassle, or both. Neither risk nor hassle has any place in the retired good life. You're better off to convert your assets to cash and buy high-interest CDs.

What about furniture, paintings, rugs, antiques, jewelry, gold, home entertainment centers, cars, and recreational vehicles? Those are either investments you can use or simply things you enjoy owning. But how important are they to your retirement?

Henry David Thoreau had something to say on the subject. "Most of the luxuries, and many of the so-called comforts, of life are not only not indispensable, but positive hindrances to the elevation of mankind."

As far as I'm concerned, Thoreau was weird. He may have been a genius and all that. But he chose to spend over a year and a half, including a freezing winter, alone in the woods near Concord, Massachusetts. Anyone who chooses to do that must be wrapped up with some very loose string.

But Thoreau broke life down to its basics. He concluded that what we are, what we do, and how we live mean more than what we own. I think most of us would agree with that. But Thoreau went further. He said that owning a lot of things actually *prevents* us from focusing on who we are and what makes us happy.

My proposal stops short of Thoreau's near-total abstinence. First, I recommend you review each of your major personal assets to see if it has been or is likely to be an important part of your life. If you answer "yes," keep it. Vicki and I, for example, kept our piano and word processor when we retired. Second, ask if you bought the asset to satisfy your drive to